Risk Management?

Any banker who lived through the 2008 financial crisis understands how complication can create risk-management problems. How does one risk manage a machine-learning algorithm that is trading leveraged exotic derivatives with a jump-diffusion model, infused with a touch of fractal mathematics and string theory? Black boxes of this sort can be problematic for risk managers. In short, always ask yourself if the complexity of a strategy creates a risk management blind spot.

T: Taxes

> "Another very simple effect I very seldom see discussed either by investment managers or anybody else is the effect of taxes… If you sit back for long, long stretches in great companies, you can get a huge edge from nothing but the way that income taxes work."

—Charlie Munger, *On the Art of Stock Picking*

Tax minimization strategies are—and always will be—a critical aspect of long-term wealth creation. Tax efficiency is an important investment consideration that is often overlooked, even by experienced allocators. Indeed, tax considerations often predominate over performance considerations. This cruel investment calculus often seems lost on mutual fund investors. Over long periods of time, a tax drag of 50 percent or more a year on a short-term trading strategy has a tough time outlasting an inferior investment strategy that defers taxes for many years into the future.

Some scary numbers: Starting in 2013, the marginal investor will pay 23.8 percent on long-term capital gains (20 percent plus 3.8 percent health care tax) and 43.4 percent (39.6 percent plus 3.8 percent health-care tax) on short-term capital gains (see Table 5.5). These figures do not include city, state, or local taxes, which can boost these figures much higher (e.g., California) (see Table 5.5).